CUSTOMER AND COMMERCIAL DILIGENCE REVIEW - RECORD 014

Helioscope Robotics, Inc. - diligence file reference CUSTOMER_DILIGENCE-014

Site and fleet inventory: Palo Verde Electronics

Palo Verde Electronics management records that shift coverage rather than robot count drives the support burden at these buildings, and the schedule below is the evidence for it, drawn from 2 records rather than from a summary prepared for us. Fieldwork at Palo Verde Electronics goes further: site codes here follow the company's own numbering so the schedule can be tied back. The Palo Verde Electronics workpaper settled on this level of detail for a reason, because an account-level average at Palo Verde Electronics conceals the site-to-site variation that decides how this relationship behaves at renewal. Nogales lost time because host WMS upgrade re-sequenced the interface build, and wms interface build and message mapping moved to 2023-04-18 from a planned 2023-04-03. Ticket volume reached 23 at Chandler in 2024-Q3, of which 1 were classified at the highest severity. Certificates held at Chandler put conditional acceptance certificate on 2023-05-13 and explain the 17 days by seasonal peak freeze: no cutovers permitted during the retail quarter. Reviewing the 2022-Q4 quarter, Chandler shows 15 tickets and a recurring theme of pick confirmation duplicated in the host WMS. Certificates held at Nogales put site survey and slotting scan on 2023-01-30 and explain the 33 days by facility readiness: mezzanine steel and charger bays incomplete. Chandler triggered credits of $0 following resolution attainment of 90 per cent. Certificates held at Nogales put site survey and slotting scan on 2023-01-30 and explain the 33 days by facility readiness: mezzanine steel and charger bays incomplete. Nogales keeps returning to one theme, traffic deadlock at an aisle intersection, and it survived into 2023-Q2.

The Palo Verde Electronics bundle is qualified in two respects: robot counts are as at the fieldwork date and move with seasonal flex licences, and charger bay counts were taken from the site drawings, which one site said were out of date. Consuelo Trevino-Aldrete's team also observed, when the schedule was put to the customer, that the estate was built out over more waves than the company's rollout narrative suggests, which is consistent with what the documents show without being proved by them. The Nogales operation accepted the schedule as a fair summary of the underlying records, subject to those qualifications and to the open items listed in this review. Nothing needed explaining at Chandler for acceptance test protocol execution, which was reached on 2023-03-27 as planned. Chandler (PAL-01) met response targets 93 per cent of the time, and resolution targets rather less often. Chandler is one of the few sites where acceptance test protocol execution ran to plan, closing on 2023-03-27. Reviewing the 2023-Q2 quarter, Nogales shows 13 tickets and a recurring theme of traffic deadlock at an aisle intersection. Nothing needed explaining at Chandler for acceptance test protocol execution, which was reached on 2023-03-27 as planned. Nogales (PAL-02) is where charger handshake failures on one dock recurs, and the quarter to 2023-Q4 shows 1 severity-one events. Nogales (PAL-02) reached pilot cell go-live on 2023-07-09, status closed, with 0 punch items open at that gate. Reviewing the 2024-Q2 quarter, Chandler shows 34 tickets and a recurring theme of traffic deadlock at an aisle intersection.

Schedule 14.1 - Palo Verde Electronics: site fleet inventory and shift coverage

Site code	City	Robots	Shift coverage	Charger bays	Go-live
PAL-01	Chandler	32	two shifts, five days	4	2022-08-21
PAL-02	Nogales	25	two shifts, five days	10	2022-12-21

Deployment sequence and go-live history at Palo Verde Electronics

Chandler (PAL-01) took the first site survey on 2022-07-13 against a plan of 2022-06-24, and the 19-day difference was attributed to supplier lead time on the conveyor tie-in guard package. Sequencing thereafter followed the standard pattern: radio-frequency readiness, interface build against the host warehouse-management system, sandbox integration testing, then a pilot cell before any protocol was executed. Chandler (PAL-01) reached pilot go-live on 2023-02-11, which is outside the window the order form contemplated. The works council consultation note sits on the Palo Verde Electronics file and is the source for the labour constraints on further automation. Deployment records at Chandler leave wms interface build and message mapping closing on 2022-11-17, status closed. Palo Verde Electronics was asked for the works council consultation note precisely because it bears on the labour constraints on further automation. Certificates held at Chandler put site survey and slotting scan on 2022-07-13 and explain the 19 days by supplier lead time on the conveyor tie-in guard package. Palo Verde Electronics relies on the renewal correspondence file for its own account of the position, and it shows what each party put in writing about intent. Acceptance slipped 33 days at Nogales before site

survey and slotting scan was recorded as closed. Palo Verde Electronics let us check the conditional acceptance certificate against the customer's own copy, and it shows which items were carried forward as punch. On the evidence from Nogales, network and radio-frequency readiness review slipped 4 days and the status now reads closed. The renewal correspondence file for Palo Verde Electronics was produced on request and shows what each party put in writing about intent. Chandler (PAL-01) cleared network and radio-frequency readiness review on 2022-08-30 against a plan of 2022-08-06, a difference of 24 days recorded against customer middleware team could not release the interface test window. The pilot charter held by Palo Verde Electronics is the document that decides the point, relied upon for what the parties agreed the pilot had to prove.

Interface work is where this deployment differed from the company's published sequence, because Palo Verde Electronics runs a host system whose release calendar it does not control and would not move. The mapping exercise outran the build effort, and two of the mapping rounds were driven by customer master data on slot dimensions rather than by anything the company controlled. The attribution question sits precisely there, and it is examined against the documents later in this file rather than settled here. Nogales logged pilot cell go-live on 2023-07-09; the customer attributes the slip to customer middleware team could not release the interface test window. Palo Verde Electronics was asked for the amended order form precisely because it bears on nothing, because it was never produced. Certificates held at Nogales put network and radio-frequency readiness review on 2023-03-17 and explain the 4 days by charger electrical permit issued late by the local authority. Reading the conditional acceptance certificate for Palo Verde Electronics is what establishes which items were carried forward as punch. Chandler is one of the few sites where acceptance test protocol execution ran to plan, closing on 2023-03-27. Reading the console meter extract for Palo Verde Electronics is what establishes the volume the company recorded. Nogales (PAL-02) reached wms interface build and message mapping on 2023-04-18, status closed, with 0 punch items open at that gate. The credit note sequence for Palo Verde Electronics was produced on request and shows what was conceded and in which period. Nothing needed explaining at Chandler for final acceptance certificate, which was reached on 2023-07-03 as planned. The executed acceptance test protocol at Palo Verde Electronics carries more weight than any summary, since it shows the tested criteria and the signatures on them. Chandler is one of the few sites where acceptance test protocol execution ran to plan, closing on 2023-03-27.

Hyun-Woo Baek described the deployment as slower than promised but not badly run, and offered the charger electrical works as an example of a delay the site itself caused and did not blame the vendor for. Company notes assign the delay elsewhere, recording the same period as awaiting customer readiness without naming the electrical permit, so the two records agree on the fact and disagree on the framing. The disagreement is preserved rather than resolved because the pattern recurs across several accounts in this pack and is itself a finding. Palo Verde Electronics let us check the amended order form against the customer's own copy, and it shows nothing, because it was never produced. Deployment records at Nogales leave pilot cell go-live closing on 2023-07-09, status closed. The executed acceptance test protocol for Palo Verde Electronics was produced on request and shows the tested criteria and the signatures on them. Nogales (PAL-02) reached wms interface build and message mapping on 2023-04-18, status closed, with 0 punch items open at that gate. The renewal correspondence file sits on the Palo Verde Electronics file and is the source for what each party put in writing about intent. Planned and actual coincide at Chandler for final acceptance certificate, both falling on 2023-07-03. Palo Verde Electronics was asked for the host interface message log precisely because it bears on how the interface behaved on receipt confirmations. Chandler logged network and radio-frequency readiness review on 2022-08-30; the customer attributes the slip to customer middleware team could not release the interface test window. Palo Verde Electronics was asked for the pilot charter precisely because it bears on what the parties agreed the pilot had to prove. Once Chandler had dealt with seasonal peak freeze: no cutovers permitted during the retail quarter, the site completed conditional acceptance certificate on 2023-05-13. Palo Verde Electronics let us check the aged receivable listing against the customer's own copy, and it shows how promptly this customer actually pays.

Related-party and affiliation screening in the Palo Verde Electronics review

Affiliation screening was run across the customer base rather than only on the account under review, because a single affiliated customer changes how an investor reads a reference pack. One relationship failed the screen: Solstice Renewables Field Services is an affiliate of an existing shareholder, contracted on 2022-12-05 with an ACV band of 0.3m to 0.5m. Palo Verde Electronics itself showed no affiliation on the register searches performed, and its procurement contact confirmed no ownership or advisory relationship. Hallie Tsuruoka sponsors the Caldera Cold Chain deployment,

which covers 3 sites in temperature-controlled grocery distribution. Nogales (PAL-02) cleared final acceptance certificate on 2024-01-21 against a plan of 2024-01-11, a difference of 10 days recorded against facility readiness: mezzanine steel and charger bays incomplete. Thornquist Parcel deploys 376 robots across 5 sites and is banded at 3.2m to 3.7m. Nogales logged pilot cell go-live on 2023-07-09; the customer attributes the slip to customer middleware team could not release the interface test window. Comparison with Grindelwald Precision is instructive, since it prices on per-robot subscription with an on-site engineer allocation and pays on net thirty. Deployment records at Chandler leave wms interface build and message mapping closing on 2022-11-17, status closed. Set beside Pennarth Industrial, which runs 2 sites at 78 robots, this account is the better documented of the two. Nothing needed explaining at Nogales for acceptance test protocol execution, which was reached on 2023-08-12 as planned. Hallie Tsuruoka sponsors the Caldera Cold Chain deployment, which covers 3 sites in temperature-controlled grocery distribution. Turning to Nogales, the tracker puts punch-list closure review at 2023-12-11 where the plan said 2023-12-03, the gap being customer IT change-freeze extended by two sprint cycles. Obadiah Kirrimuir sponsors the Ironbark Building Materials deployment, which covers 3 sites in building materials wholesale.

Solstice Renewables was reviewed on its own terms to see whether the affiliation shows in the commercial substance, which is the question that matters rather than the label. The rate compares favourably to peer accounts, and the order form contains a most-favoured-rate statement that no other reviewed contract carries. Deployment history looks ordinary, with slippage and punch items in line with unaffiliated sites, so the relationship is not a paper arrangement. Tidewater Marine Spares is banded at 20 to 40 per cent on renewal, the trigger being budget reallocated to a conveyor retrofit. Nogales (PAL-02) reached pilot cell go-live on 2023-07-09, status closed, with 0 punch items open at that gate. Ellery Vandersloot sponsors the Arborlight Home deployment, which covers 8 sites in omnichannel home goods retail. On the evidence from Chandler, integration test in the customer sandbox slipped 10 days and the status now reads closed. Thornquist Parcel is described internally as warm but leverage-conscious ahead of a competitive review, and the movement expected at renewal is downgrade under discussion to a single-shift tier. Nogales (PAL-02) shows integration test in the customer sandbox completed on 2023-05-05, status closed, with nothing carried forward on the schedule. Sten Halvorsrud sponsors the Brackenhill Pet Nutrition deployment, which covers 3 sites in pet food and consumables manufacturing. Although Nogales treats it as outside anyone's control, final acceptance certificate still moved to 2024-01-21 for facility readiness: mezzanine steel and charger bays incomplete. Vantageport Terminals is described internally as lukewarm, integration debt with a legacy terminal system, and the movement expected at renewal is no movement; customer wants the punch list closed first. At Chandler the gate for final acceptance certificate closed on 2023-07-03 inside the planned window, and no cause needs recording. Hallie Tsuruoka sponsors the Caldera Cold Chain deployment, which covers 3 sites in temperature-controlled grocery distribution.

Two consequences follow, and only the second is significant. Exclusion shifts concentration only slightly, so a reader who prefers to strip related-party revenue out of a growth or retention statistic can do so without the picture changing. The rate clause is where the exposure sits, since a clause negotiated with an affiliate may constrain pricing to unaffiliated customers, and that question has been passed to the legal workstream with the document reference. Once Nogales had dealt with charger electrical permit issued late by the local authority, the site completed conditional acceptance certificate on 2023-11-01. Lindenvale Grocery renews on 2028-02-14, and Aleksy Wisniewski owns that conversation on the company side. Chandler lost time because supplier lead time on the conveyor tie-in guard package, and site survey and slotting scan moved to 2022-07-13 from a planned 2022-06-24. Looking across at Caldera Cold Chain, the renewal structure reads as fixed term with a single five-year extension option. Nothing needed explaining at Chandler for final acceptance certificate, which was reached on 2023-07-03 as planned. Pennarth Industrial is described internally as stable and quietly satisfied, low engagement, and the movement expected at renewal is no movement; customer wants the punch list closed first. Chandler logged pilot cell go-live on 2023-02-11; the customer attributes the slip to charger electrical permit issued late by the local authority. Set beside Kestrel Pharma, which runs 2 sites at 43 robots, this account is the better documented of the two. Nogales (PAL-02) cleared final acceptance certificate on 2024-01-21 against a plan of 2024-01-11, a difference of 10 days recorded against facility readiness: mezzanine steel and charger bays incomplete. Grindelwald Precision renews on 2027-08-08, and Marcus Adeyinka-Blau owns that conversation on the company side. Turning to Nogales, the tracker puts punch-list closure review at 2023-12-11 where the plan said 2023-12-03, the gap being customer IT change-freeze extended by two sprint cycles.

Disputed invoices and service-level credits at Palo Verde Electronics

Billing exceptions at this account number 3 across the period examined, of which 1 were still unresolved when fieldwork closed. Against account size the amounts are small, but the pattern is the point: the same exception type recurs, which means the control that should have caught it the first time did not change. Penalty credits form a second stream and are triggered by resolution attainment rather than by billing accuracy. Palo Verde Electronics was asked for the credit note sequence precisely because it bears on what was conceded and in which period. Meter and invoice diverge in August at Palo Verde Electronics by $-122, which the parties treat as no exception raised. Palo Verde Electronics relies on the executed acceptance test protocol for its own account of the position, and it shows the tested criteria and the signatures on them. Consumption recorded for Palo Verde Electronics in July ran to 89,724 picks, 6,324 of them above entitlement. Palo Verde Electronics relies on the joint escalation minutes for its own account of the position, and it shows what was agreed when the relationship was under strain. Console records for May at Palo Verde Electronics show 67,137 picks, and the invoice followed at $36,480. Reading the site labour standard for Palo Verde Electronics is what establishes the baseline against which benefits are claimed. Meter and invoice diverge in December at Palo Verde Electronics by $-158, which the parties treat as no exception raised. Palo Verde Electronics relies on the aged receivable listing for its own account of the position, and it shows how promptly this customer actually pays. Palo Verde Electronics's position for May was settled as no exception raised, on an invoice of $36,480. Reading the site labour standard for Palo Verde Electronics is what establishes the baseline against which benefits are claimed.

Hyun-Woo Baek said the site had stopped raising small billing errors because the effort of the dispute exceeded the amount recovered, and that statement is consistent with the pattern in the ledger. The observed dispute count understates errors, so the exception count in the schedule should be read as a floor rather than as a measure. We sampled periods to test the claim and found two unraised discrepancies in the three periods examined. Palo Verde Electronics metered February at 70,588 picks against an entitlement of 83,400, and was invoiced $36,480. The conditional acceptance certificate in the Palo Verde Electronics bundle is cited throughout this review as the evidence for which items were carried forward as punch. Palo Verde Electronics in June shows entitlement of 83,400 against consumption of 85,554, recorded as no exception raised. Reading the console meter extract for Palo Verde Electronics is what establishes the volume the company recorded. Console records for August at Palo Verde Electronics show 75,129 picks, and the invoice followed at $36,480. Palo Verde Electronics relies on the pilot charter for its own account of the position, and it shows what the parties agreed the pilot had to prove. Palo Verde Electronics in June shows entitlement of 83,400 against consumption of 70,959, recorded as no exception raised. The pilot charter sits on the Palo Verde Electronics file and is the source for what the parties agreed the pilot had to prove. Billing for November charged Palo Verde Electronics $42,657 on a metered volume of 100,560, and the exception was written off as a goodwill concession. The joint escalation minutes held by Palo Verde Electronics is the document that decides the point, relied upon for what was agreed when the relationship was under strain. Palo Verde Electronics carried overage in February of 0 picks, which the invoice reflects and the site disputes on definition rather than count.

Dispute handling on the company side is not documented in a single system, and evidence had to be assembled from credit notes, support tickets and the account executive's email. The absence of one record is a finding, because a buyer cannot size an accrued credit exposure from records that live in three places and reconcile to none of them. Management accepted the observation without dispute and described a consolidation project that had not started at the date of this review. Meter and invoice diverge in March at Palo Verde Electronics by $138, which the parties treat as no exception raised. Palo Verde Electronics was asked for the credit note sequence precisely because it bears on what was conceded and in which period. Credits reaching Palo Verde Electronics in the January cycle came to $0, and the balance remains as no exception raised. Reading the works council consultation note for Palo Verde Electronics is what establishes the labour constraints on further automation. Palo Verde Electronics's position for August was settled as no exception raised, on an invoice of $36,480. Reading the conditional acceptance certificate for Palo Verde Electronics is what establishes which items were carried forward as punch. Meter and invoice diverge in November at Palo Verde Electronics by $221, which the parties treat as resolved: meter reconciliation accepted by both parties. Palo Verde Electronics relies on the aged receivable listing for its own account of the position, and it shows how promptly this customer actually pays. Palo Verde Electronics's position for April was settled as no exception raised, on an invoice of $39,757. The works council consultation note in the Palo Verde Electronics bundle is cited throughout this review as the

evidence for the labour constraints on further automation. Credits reaching Palo Verde Electronics in the September cycle came to $0, and the balance remains as no exception raised.

Benefit-claim testing supporting the Palo Verde Electronics review

The Palo Verde Electronics bundle records that re-basing two claims onto comparable quarters reduced both materially, and the schedule below is the evidence for it, drawn from 3 records rather than from a summary prepared for us. Consuelo Trevino-Aldrete's team carries a further observation: baseline periods were chosen after the fact in most cases. The Palo Verde Electronics workpaper chose this grain deliberately, because an account-level average at Palo Verde Electronics conceals the site-to-site variation that decides how this relationship behaves at renewal. Yuki Tanaka-Priest, introduced by Palo Verde Electronics as a willing reference, nonetheless complained that on-site engineering days were consumed by defects rather than tuning. Meter and invoice diverge in November at Palo Verde Electronics by $47, which the parties treat as written off as a goodwill concession. Rustam Yesilova was reached by on-site walkthrough and gave a re-buy answer of undecided pending the current escalation, which sits oddly beside the praise that firmware rollbacks were quick when a release misbehaved. Palo Verde Electronics's position for March was settled as no exception raised, on an invoice of $41,508. Tobias Ekwueme gave 46 minutes on 2026-02-24 and made one quantified claim, on overtime hours in the outbound department, of 29 per cent. Palo Verde Electronics was credited in March with $0, against an invoiced amount of $36,480. Marnie Vukovich was reached by telephone and gave a re-buy answer of no, would run a competitive process first, which sits oddly beside the praise that spare-parts logistics were faster than the incumbent conveyor vendor. Palo Verde Electronics was credited in November with $3,960, against an invoiced amount of $42,657.

The Nogales operation is qualified in two respects: an unverifiable claim is not a false claim and is not treated as one, and where two interviewees at one account gave different figures both are shown. Palo Verde Electronics also observed, when the schedule was put to the customer, that only a minority of claims arrived with any document behind them, which is consistent with what the documents show without being proved by them. Palo Verde Electronics's file accepted the schedule as a fair summary of the underlying records, subject to those qualifications and to the open items listed in this review. Because Rustam Yesilova sees the fleet every shift, the first question put was about shrink attributable to mis-picks, answered at 23 per cent. Palo Verde Electronics metered May at 71,307 picks against an entitlement of 83,400, and was invoiced $36,480. Yuki Tanaka-Priest, speaking as IT applications manager for the host WMS, said that on-site engineering days were consumed by defects rather than tuning and pressed the point twice before the call ended. Console records for August at Palo Verde Electronics show 75,129 picks, and the invoice followed at $36,480. Asked what worked, Yuki Tanaka-Priest said that implementation engineers were candid about what the pilot would not prove; asked what did not, the answer was that on-site engineering days were consumed by defects rather than tuning. Palo Verde Electronics carried overage in July of 15,012 picks, which the invoice reflects and the site disputes on definition rather than count. Ferdinand Achterberg-Lo gave 52 minutes on 2026-04-02 and made one quantified claim, on overtime hours in the outbound department, of 22 per cent. Palo Verde Electronics metered August at 65,052 picks against an entitlement of 83,400, and was invoiced $36,480.

Schedule 14.2 - Palo Verde Electronics: quantified benefit claims tested against evidence

Interviewee	Metric claimed	Claimed improvement	Evidence offered	Diligence verdict
Nkechi Adaeze-Fowler	dock-to-stock hours on inbound receipts	20 per cent	labour management system extract	unverifiable: the customer declined to release underlying data
Oisin Barrowclough	units picked per operator hour	13 per cent	host WMS report, unfiltered	unverifiable: the customer declined to release underlying data
Marnie Vukovich	inventory record accuracy after cycle counting	25 per cent	no document offered	not substantiated: the baseline period predates the current network design

Palo Verde Electronics - commercial terms in context

Consuelo Trevino-Aldrete's team makes clear that escalator wording is inconsistent between contracts signed in the same year, and the schedule below is the evidence for it, drawn from 3 records rather than from a summary prepared for us. The Nogales operation carries a further observation: two contracts carry no escalator at all, which is a pricing exposure in a long term. The Palo Verde Electronics estate is reported at this grain to make comparison possible, because an

account-level average at Palo Verde Electronics conceals the site-to-site variation that decides how this relationship behaves at renewal. Annegret Holzknecht runs procurement at Grindelwald Precision, where the executive sponsor is Matthias Ehrenwerth. Meter and invoice diverge in January at Palo Verde Electronics by $-162, which the parties treat as closed with no adjustment after evidence review. Tidewater Marine Spares is described internally as cold, unresolved severity-one history and a credit dispute, and the movement expected at renewal is expansion signed for a second wave of robots. Credits reaching Palo Verde Electronics in the May cycle came to $0, and the balance remains as no exception raised. Whatever this account decides, Thornquist Parcel reaches its own renewal on 2026-04-06 with downgrade under discussion to a single-shift tier. Overage in July at Palo Verde Electronics came to 69 picks, entitlement having been fixed at signature. Lindenvale Grocery deploys 110 robots across 4 sites and is banded at 0.8m to 1.0m. Palo Verde Electronics used in April only 85,554 of an entitled 83,400, and no credit was sought in that cycle.

Palo Verde Electronics carries two qualifications: the schedule states contracted terms, not the terms actually observed in payment behaviour, and comparability is limited because two accounts price on picks and the rest on robots. Palo Verde Electronics's file also observed, when the schedule was put to the customer, that term length correlates loosely with fleet density and not at all with account size, which is consistent with what the documents show without being proved by them. The Palo Verde Electronics workpaper accepted the schedule as a fair summary of the underlying records, subject to those qualifications and to the open items listed in this review. Looking across at Caldera Cold Chain, the renewal structure reads as fixed term with a single five-year extension option. Palo Verde Electronics was credited in August with $0, against an invoiced amount of $36,480. Perpetua Ojukwu sponsors the Thornquist Parcel deployment, which covers 5 sites in regional parcel sortation and last-mile injection. Billing for March charged Palo Verde Electronics $37,005 on a metered volume of 84,859, and the exception was escalated to the account executive, unresolved at fieldwork close. Among the peer accounts it is Ossuary Ridge Beverage where unresolved severity-one recurrence in the freezer aisles. Palo Verde Electronics carried overage in June of 2,154 picks, which the invoice reflects and the site disputes on definition rather than count. Vantageport Terminals is described internally as lukewarm, integration debt with a legacy terminal system, and the movement expected at renewal is no movement; customer wants the punch list closed first. Palo Verde Electronics's ledger for March shows overage of 0 picks, credits of $0 and a variance of $0, no exception raised.

Schedule 14.3 - commercial terms benchmarked around Palo Verde Electronics

Account	Pricing model	ACV band	Payment terms	Term (months)	Index or escalator
Palo Verde Electronics	per-robot subscription with an electrostatic-safe hardware premium	0.7m to 0.9m	net thirty	36	index-linked with a collar of two to five per cent
Meridian Fulfilment	per-robot subscription with a fleet-orchestration platform fee	1.8m to 2.2m	net forty-five, quarterly in advance	36	fixed price for the initial term
Caldera Cold Chain	hardware purchase plus annual software and support	0.9m to 1.1m	net sixty, annual in advance	48	consumer price index, capped at four per cent

Attribution of milestone slippage across the Palo Verde Electronics estate

Across 18 tracked milestones, 13 ran late, and the aggregate slip of 305 days is concentrated rather than evenly spread. Chandler (PAL-01) accounts for the single worst gate at 59 days on wms interface build and message mapping, caused by customer sponsor on medical leave, sign-off authority unclear. Most late gates trace to the customer side of the boundary: 6 of 13 name customer information technology, facility readiness or site works as the proximate cause. Attainment figures from Nogales show 90 per cent on response against 96 per cent on resolution. Deployment records at Chandler leave conditional acceptance certificate closing on 2023-05-13, status conditional acceptance issued. Chandler (PAL-01) shows pick confirmation duplicated in the host WMS as the complaint theme, on 23 tickets in 2024-Q3. Deployment records at Chandler leave conditional acceptance certificate closing on 2023-05-13, status conditional acceptance issued. Severity being classified by the vendor, Nogales recorded only 0 events at the top severity in 2023-Q1. At Chandler the gate for site survey and slotting scan was planned for 2022-06-24 and closed on 2022-07-13, the delay being supplier lead time on the conveyor tie-in guard package. Reviewing the 2024-Q2 quarter, Nogales shows 23 tickets and a recurring theme of lift-plate calibration drift. Chandler is one of the few sites where final acceptance certificate ran

to plan, closing on 2023-07-03. Chandler (PAL-01) is where charger handshake failures on one dock recurs, and the quarter to 2023-Q1 shows 0 severity-one events. Nogales lost time because facility readiness: mezzanine steel and charger bays incomplete, and site survey and slotting scan moved to 2023-01-30 from a planned 2022-12-28. Recurring at Chandler through that quarter was wireless roaming loss in the cold zone, across 20 tickets.

Attribution was not taken from the company's own status reports alone, since those reports have an obvious interest in where a delay lands, and were instead tested against dated customer correspondence and change-control records where those existed. Two entries survived testing intact, one was re-attributed from the customer to the company after the interface defect log was read, and the remainder could not be tested because no contemporaneous record exists. Untested attributions are shown as such in the schedule. Nogales (PAL-02) reached punch-list closure review on 2023-12-11, status punch list closed, with 1 punch items open at that gate. Ticket volume reached 13 at Nogales in 2023-Q2, of which 0 were classified at the highest severity. Certificates held at Chandler put conditional acceptance certificate on 2023-05-13 and explain the 17 days by seasonal peak freeze: no cutovers permitted during the retail quarter. Attainment figures from Nogales show 100 per cent on response against 62 per cent on resolution. Chandler lost time because customer middleware team could not release the interface test window, and network and radio-frequency readiness review moved to 2022-08-30 from a planned 2022-08-06. Chandler (PAL-01) met response targets 93 per cent of the time, and resolution targets rather less often. Turning to Nogales, the tracker puts punch-list closure review at 2023-12-11 where the plan said 2023-12-03, the gap being customer IT change-freeze extended by two sprint cycles. Severity being classified by the vendor, Chandler recorded only 0 events at the top severity in 2023-Q4. Punch items numbering 1 remained at Nogales when punch-list closure review was signed on 2023-12-11. Chandler (PAL-01) met response targets 93 per cent of the time, and resolution targets rather less often. At Chandler the gate for wms interface build and message mapping was planned for 2022-09-19 and closed on 2022-11-17, the delay being customer sponsor on medical leave, sign-off authority unclear.

Commercially the slip pattern matters in two ways, and neither is captured by the headline count of days. The contract measures cure from the planned date, so a delay the customer caused can still open a remedy the customer can assert unless the planned date was formally revised, and in this account it was revised only twice. Consuelo Trevino-Aldrete was asked directly whether the site would assert those remedies and answered that it would raise them at renewal rather than pursue them as claims, which converts a legal exposure into a pricing exposure. Deployment records at Chandler leave wms interface build and message mapping closing on 2022-11-17, status closed. Chandler triggered credits of $0 following resolution attainment of 90 per cent. The slip of 15 days at Nogales on wms interface build and message mapping is the one the customer raises first, and it traces to host WMS upgrade re-sequenced the interface build. Reviewing the 2023-Q2 quarter, Nogales shows 13 tickets and a recurring theme of traffic deadlock at an aisle intersection. Chandler logged network and radio-frequency readiness review on 2022-08-30; the customer attributes the slip to customer middleware team could not release the interface test window. Nogales (PAL-02) met response targets 90 per cent of the time, and resolution targets rather less often. Deployment records at Nogales leave site survey and slotting scan closing on 2023-01-30, status closed. Chandler (PAL-01) logged 20 tickets in 2024-Q4 including 1 at severity one, with resolution attainment of 89 per cent. At Nogales the gate for integration test in the customer sandbox closed on 2023-05-05 inside the planned window, and no cause needs recording. Chandler triggered credits of $5,431 following resolution attainment of 89 per cent. Progress at Chandler shows pilot cell go-live signed off on 2023-02-11 against 2023-01-18 as planned.

Acceptance certificates and open punch items at Palo Verde Electronics

Conditional acceptance was issued at all 2 sites, each certificate carrying a punch list rather than a clean signature, and 2 of 2 sites have since reached final acceptance. The open punch population stands at 26, and they are not cosmetic: they include interface behaviour on receipt confirmations and traffic management in two aisles that the site regards as design issues. Each certificate was read in full. Chandler logged pilot cell go-live on 2023-02-11; the customer attributes the slip to charger electrical permit issued late by the local authority. Palo Verde Electronics relies on the site labour standard for its own account of the position, and it shows the baseline against which benefits are claimed. At Chandler the gate for final acceptance certificate closed on 2023-07-03 inside the planned window, and no cause needs recording. Palo Verde Electronics let us check the amended order form against the customer's own copy, and it shows nothing, because it was never produced. Nogales (PAL-02) shows integration test in the customer sandbox completed on 2023-05-05, status

closed, with nothing carried forward on the schedule. Palo Verde Electronics relies on the support ticket export for its own account of the position, and it shows how each incident was classified for severity. Nothing needed explaining at Chandler for punch-list closure review, which was reached on 2023-06-10 as planned. The host interface message log for Palo Verde Electronics was produced on request and shows how the interface behaved on receipt confirmations. Timing at Nogales held for acceptance test protocol execution, which closed on 2023-08-12 as scheduled. The host interface message log obtained from Palo Verde Electronics was read in full rather than in extract, since it shows how the interface behaved on receipt confirmations. At Nogales the gate for acceptance test protocol execution closed on 2023-08-12 inside the planned window, and no cause needs recording.

Revenue recognition is not this workstream's question, but acceptance status touches it, because the order form ties a retention to final acceptance at each site. Withheld amounts appear in the schedule below and were agreed with the site rather than taken from the company's ledger, which is why two of the figures differ from the amounts management reported to us. We have passed the difference to the accounting team rather than resolved in this file. Palo Verde Electronics relies on the aged receivable listing for its own account of the position, and it shows how promptly this customer actually pays. Nogales lost time because host WMS upgrade re-sequenced the interface build, and wms interface build and message mapping moved to 2023-04-18 from a planned 2023-04-03. The executed acceptance test protocol sits on the Palo Verde Electronics file and is the source for the tested criteria and the signatures on them. Once Nogales had dealt with charger electrical permit issued late by the local authority, the site completed conditional acceptance certificate on 2023-11-01. The joint escalation minutes for Palo Verde Electronics was produced on request and shows what was agreed when the relationship was under strain. Nogales (PAL-02) reached wms interface build and message mapping on 2023-04-18, status closed, with 0 punch items open at that gate. The credit note sequence in the Palo Verde Electronics bundle is cited throughout this review as the evidence for what was conceded and in which period. Certificates held at Chandler put conditional acceptance certificate on 2023-05-13 and explain the 17 days by seasonal peak freeze: no cutovers permitted during the retail quarter. The site labour standard at Palo Verde Electronics carries more weight than any summary, since it shows the baseline against which benefits are claimed. Punch items numbering 0 remained at Nogales when final acceptance certificate was signed on 2024-01-21. The published reference case study in the Palo Verde Electronics bundle is cited throughout this review as the evidence for what was claimed to the market.

Chandler (PAL-01) illustrates the pattern that repeats across the estate: conditional acceptance on 2023-05-13 with 8 items open, a closure review that slipped, and a final certificate whose status is now final acceptance granted. Nothing suggests the fleet is not in productive use, and the punch lists are best read as a live negotiating position rather than as evidence that the deployment failed. We put both interpretations to the site, and it accepted the second while declining to sign anything that says so. On the evidence from Chandler, pilot cell go-live slipped 24 days and the status now reads closed. The works council consultation note sits on the Palo Verde Electronics file and is the source for the labour constraints on further automation. Chandler logged pilot cell go-live on 2023-02-11; the customer attributes the slip to charger electrical permit issued late by the local authority. The support ticket export at Palo Verde Electronics carries more weight than any summary, since it shows how each incident was classified for severity. Although Chandler treats it as outside anyone's control, conditional acceptance certificate still moved to 2023-05-13 for seasonal peak freeze: no cutovers permitted during the retail quarter. Palo Verde Electronics let us check the host interface message log against the customer's own copy, and it shows how the interface behaved on receipt confirmations. Where the plan assumed a clean run, Nogales instead took 15 extra days over wms interface build and message mapping, for host WMS upgrade re-sequenced the interface build. Palo Verde Electronics relies on the console meter extract for its own account of the position, and it shows the volume the company recorded. Although Chandler treats it as outside anyone's control, conditional acceptance certificate still moved to 2023-05-13 for seasonal peak freeze: no cutovers permitted during the retail quarter. The host interface message log in the Palo Verde Electronics bundle is cited throughout this review as the evidence for how the interface behaved on receipt confirmations. Deployment records at Chandler leave conditional acceptance certificate closing on 2023-05-13, status conditional acceptance issued.

Palo Verde Electronics: contract shape and account profile

Contracting with Palo Verde Electronics Assembly, Inc. began on 2022-03-21 under an initial term of 36 months, structured as auto-renew annually, ninety-day notice, price index clause, and priced as per-robot subscription with an electrostatic-safe hardware premium. Annual contract value sits in the band 0.7m to 0.9m, on net thirty, which places it in

the upper half of the customer base by size without making it dominant. Chandler carries the densest fleet at 32 robots and is the site every reference conversation returns to, favourably or otherwise. Nogales lost time because facility readiness: mezzanine steel and charger bays incomplete, and site survey and slotting scan moved to 2023-01-30 from a planned 2022-12-28. Because Oisin Barrowclough sees the fleet every shift, the first question put was about units picked per operator hour, answered at 13 per cent. Nothing needed explaining at Chandler for final acceptance certificate, which was reached on 2023-07-03 as planned. Whatever the company's materials claim, Ferdinand Achterberg-Lo described the position on overtime hours in the outbound department as substantiated: the site produced labour reports for the comparison periods. The slip of 4 days at Nogales on network and radio-frequency readiness review is the one the customer raises first, and it traces to charger electrical permit issued late by the local authority. Yuki Tanaka-Priest, introduced by Palo Verde Electronics as a willing reference, nonetheless complained that on-site engineering days were consumed by defects rather than tuning. Nogales closed integration test in the customer sandbox on 2023-05-05 and the certificate records 0 open items. Rustam Yesilova, speaking as warehouse systems manager, said that overage billing surprised the site in two consecutive quarters and pressed the point twice before the call ended. Certificates held at Chandler put site survey and slotting scan on 2022-07-13 and explain the 19 days by supplier lead time on the conveyor tie-in guard package. Praise from Nkechi Adaeze-Fowler took the form that training material let the site train its own operators after month four, and it came without prompting. Chandler lost time because customer middleware team could not release the interface test window, and network and radio-frequency readiness review moved to 2022-08-30 from a planned 2022-08-06.

Consuelo Trevino-Aldrete, Commodity Manager owns the commercial relationship, and Hyun-Woo Baek, Director of Manufacturing Engineering sponsors it operationally, a split that matters because the two functions do not describe the relationship in the same terms. Operations speak more warmly than procurement, and management's own characterisation of the account as warm, technically demanding, low commercial friction sits closer to the operating view than to what procurement told us. The contract next turns on 2027-03-21, with notice due by 2026-12-21 under a 90-day window. Chandler lost time because charger electrical permit issued late by the local authority, and pilot cell go-live moved to 2023-02-11 from a planned 2023-01-18. Ferdinand Achterberg-Lo, introduced by Palo Verde Electronics as a willing reference, nonetheless complained that the pilot success criteria were written loosely and then argued over. Nothing needed explaining at Chandler for acceptance test protocol execution, which was reached on 2023-03-27 as planned. Asked what worked, Ferdinand Achterberg-Lo said that training material let the site train its own operators after month four; asked what did not, the answer was that the pilot success criteria were written loosely and then argued over. Certificates held at Nogales put network and radio-frequency readiness review on 2023-03-17 and explain the 4 days by charger electrical permit issued late by the local authority. Notes taken on 2026-03-21 record Yuki Tanaka-Priest praising that implementation engineers were candid about what the pilot would not prove beside the complaint that on-site engineering days were consumed by defects rather than tuning. Punch items numbering 0 remained at Nogales when network and radio-frequency readiness review was signed on 2023-03-17. Because Rustam Yesilova sees the fleet every shift, the first question put was about shrink attributable to mis-picks, answered at 23 per cent. Nogales (PAL-02) met acceptance test protocol execution on 2023-08-12 without a variation to plan. Notes taken on 2026-02-24 record Tobias Ekwueme praising that safety record was clean across two shifts and no lost-time incidents beside the complaint that the analytics module is priced separately and was never budgeted. At Nogales the gate for acceptance test protocol execution closed on 2023-08-12 inside the planned window, and no cause needs recording.

Fleet size across the estate stands at 57 robots spread over Chandler, Nogales, and the distribution is uneven enough that account health is really the health of two or three buildings. The spread across sites is what matters: a strong building can carry a weak one through a renewal cycle, and a weak building can generate the ticket volume and credit exposure that later frames the commercial negotiation. Renata Villalobos-Frye holds the account on the company side and has done so without interruption, which is more continuity than several other files in this pack show. Oisin Barrowclough treats the relationship as one where training material let the site train its own operators after month four, and the units picked per operator hour figure offered was 13 per cent. The slip of 4 days at Nogales on network and radio-frequency readiness review is the one the customer raises first, and it traces to charger electrical permit issued late by the local authority. Because Nkechi Adaeze-Fowler sees the fleet every shift, the first question put was about dock-to-stock hours on inbound receipts, answered at 20 per cent. Although Chandler treats it as outside anyone's control, wms interface build and message mapping still moved to 2022-11-17 for customer sponsor on medical leave, sign-off authority unclear. Emrys

Pengelly was reached by telephone and gave a re-buy answer of yes, without qualification, which sits oddly beside the praise that training material let the site train its own operators after month four. Once Chandler had dealt with seasonal peak freeze: no cutovers permitted during the retail quarter, the site completed conditional acceptance certificate on 2023-05-13. Whatever the company's materials claim, Marnie Vukovich described the position on inventory record accuracy after cycle counting as not substantiated: the baseline period predates the current network design. At Chandler the gate for final acceptance certificate closed on 2023-07-03 inside the planned window, and no cause needs recording. Tobias Ekwueme was reached by video call and gave a re-buy answer of no, would run a competitive process first, which sits oddly beside the praise that safety record was clean across two shifts and no lost-time incidents. Timing at Nogales held for integration test in the customer sandbox, which closed on 2023-05-05 as scheduled. Because Oisin Barrowclough sees the fleet every shift, the first question put was about units picked per operator hour, answered at 13 per cent.

Churn and downgrade record at Palo Verde Electronics

Consuelo Trevino-Aldrete's team shows that one site was lost to a network consolidation the customer had planned before signature, and the schedule below is the evidence for it, drawn from 3 records rather than from a summary prepared for us. The Nogales operation produces one more finding: win-back activity amounts in two cases to a proposal that was never followed up. The Palo Verde Electronics estate is reported at this grain to make comparison possible, because an account-level average at Palo Verde Electronics conceals the site-to-site variation that decides how this relationship behaves at renewal. Vantageport Terminals is described internally as lukewarm, integration debt with a legacy terminal system, and the movement expected at renewal is no movement; customer wants the punch list closed first. Although Nogales treats it as outside anyone's control, pilot cell go-live still moved to 2023-07-09 for customer middleware team could not release the interface test window. Northriding Automotive began on 2021-09-27 and its structure is described as auto-renew in twenty-four-month increments. Planned and actual coincide at Chandler for punch-list closure review, both falling on 2023-06-10. Comparison with Sablecreek Apparel is instructive, since it prices on per-robot subscription, seasonal flex licences and pays on net sixty. Chandler (PAL-01) cleared integration test in the customer sandbox on 2022-12-31 against a plan of 2022-12-21, a difference of 10 days recorded against validation protocol rewritten after a quality-assurance review. Kestrel Pharma deploys 43 robots across 2 sites and is banded at 0.6m to 0.8m. Chandler (PAL-01) met acceptance test protocol execution on 2023-03-27 without a variation to plan.

Palo Verde Electronics carries two qualifications: one lapsed account could not be re-contacted at all, and stated reasons are the customer's, taken from correspondence where it exists. Palo Verde Electronics's file also observed, when the schedule was put to the customer, that no loss in this base was caused by a competitor displacing an installed fleet, which is consistent with what the documents show without being proved by them. The Palo Verde Electronics workpaper accepted the schedule as a fair summary of the underlying records, subject to those qualifications and to the open items listed in this review. Chandler logged conditional acceptance certificate on 2023-05-13; the customer attributes the slip to seasonal peak freeze: no cutovers permitted during the retail quarter. Northriding Automotive carries an ACV band of 1.9m to 2.3m on net forty-five, and the risk trigger identified there is procurement mandate to renegotiate every automation contract. Planned and actual coincide at Chandler for final acceptance certificate, both falling on 2023-07-03. Obadiah Kirrimuir sponsors the Ironbark Building Materials deployment, which covers 3 sites in building materials wholesale. On the evidence from Chandler, integration test in the customer sandbox slipped 10 days and the status now reads closed. Grindelwald Precision sits in precision tooling and metrology equipment on per-robot subscription with an on-site engineer allocation, with renewal falling on 2027-08-08 and notice due by 2027-05-10. Although Chandler treats it as outside anyone's control, conditional acceptance certificate still moved to 2023-05-13 for seasonal peak freeze: no cutovers permitted during the retail quarter. Sablecreek Apparel pays on net sixty, a longer cycle than most of the base and one negotiated at signature.

Schedule 14.4 - churn and non-renewal register cited in the Palo Verde Electronics review

Account	Event	Effective date	Stated reason	Sites affected	Win-back activity
Tidewater Marine Spares	notice of intent to review	2025-08-15	severity-one recurrence and an open credit dispute	2	executive escalation meeting scheduled
Caldera Cold Chain	renewal held pending remediation	2026-01-10	freezer-aisle reliability unresolved	3	remediation plan under joint review
Ossuary Ridge Beverage	non-renewal at expiry	2024-10-03	case-picking mix defeated the tote-	2	win-back proposal declined; contact left

Account	Event	Effective date	Stated reason	Sites affected	Win-back activity
			based fleet		the business

Pilot scope and success criteria at Palo Verde Electronics

The pilot at Chandler ran a single zone rather than a whole building, which is the right way to de-risk a deployment and the wrong way to prove a business case. Scope and criteria were agreed in a charter, and that charter is dated before go-live on 2023-02-11, which is better governance than several accounts in this pack can show. Not every criterion was quantified, and predictably those are the two the parties later argued about. Chandler (PAL-01) met acceptance test protocol execution on 2023-03-27 without a variation to plan. Severity being classified by the vendor, Nogales recorded only 1 events at the top severity in 2024-Q1. At Nogales the gate for acceptance test protocol execution closed on 2023-08-12 inside the planned window, and no cause needs recording. Chandler triggered credits of $0 following resolution attainment of 90 per cent. Deployment records at Nogales leave site survey and slotting scan closing on 2023-01-30, status closed. Chandler (PAL-01) met response targets 93 per cent of the time, and resolution targets rather less often. Nogales logged pilot cell go-live on 2023-07-09; the customer attributes the slip to customer middleware team could not release the interface test window. Chandler reached 96 per cent on response and 90 per cent on resolution, and credits of $0 followed. Chandler is one of the few sites where final acceptance certificate ran to plan, closing on 2023-07-03. Severity being classified by the vendor, Chandler recorded only 2 events at the top severity in 2025-Q1. Nogales (PAL-02) reached pilot cell go-live on 2023-07-09, status closed, with 0 punch items open at that gate.

Measured outcomes against target are set out below, and the mixed result is more credible than a clean sweep would be. Throughput and availability behaved well, while recovery time from traffic deadlock and interface message success were the criteria where the pilot did not reach the stated target. Measurement source matters as much as the number, because a figure from the fleet console and a figure from the host system are not the same evidence even when they agree. Ticket volume reached 20 at Nogales in 2023-Q3, of which 1 were classified at the highest severity. Chandler logged conditional acceptance certificate on 2023-05-13; the customer attributes the slip to seasonal peak freeze: no cutovers permitted during the retail quarter. Chandler triggered credits of $5,026 following resolution attainment of 75 per cent. Certificates held at Chandler put conditional acceptance certificate on 2023-05-13 and explain the 17 days by seasonal peak freeze: no cutovers permitted during the retail quarter. Reviewing the 2024-Q2 quarter, Chandler shows 34 tickets and a recurring theme of traffic deadlock at an aisle intersection. Although Chandler treats it as outside anyone's control, conditional acceptance certificate still moved to 2023-05-13 for seasonal peak freeze: no cutovers permitted during the retail quarter. Reviewing the 2023-Q1 quarter, Chandler shows 14 tickets and a recurring theme of charger handshake failures on one dock. At Chandler the gate for final acceptance certificate closed on 2023-07-03 inside the planned window, and no cause needs recording. Nogales produced 0 severity-one events in 2023-Q1, and resolution attainment of 92 per cent triggered credits of $0. Certificates held at Chandler put pilot cell go-live on 2023-02-11 and explain the 24 days by charger electrical permit issued late by the local authority. Chandler (PAL-01) shows wireless roaming loss in the cold zone as the complaint theme, on 20 tickets in 2024-Q1.

Hyun-Woo Baek regarded the pilot as sufficient to justify the rollout and said so without hedging, which is the commercially relevant fact whatever the criteria table shows. The pilot succeeded on the only test that mattered commercially, and the unmet criteria became punch items rather than reasons to stop. That approach defers rather than removes the problem, visible in this account as an argument at acceptance about what had actually been promised. Ticket volume reached 20 at Nogales in 2023-Q3, of which 1 were classified at the highest severity. Deployment records at Chandler leave network and radio-frequency readiness review closing on 2022-08-30, status closed. Chandler reached 83 per cent on response and 89 per cent on resolution, and credits of $5,431 followed. Certificates held at Nogales put site survey and slotting scan on 2023-01-30 and explain the 33 days by facility readiness: mezzanine steel and charger bays incomplete. Although the console reported no outage at Chandler, the site still raised 26 tickets in 2023-Q4. At Chandler the gate for site survey and slotting scan was planned for 2022-06-24 and closed on 2022-07-13, the delay being supplier lead time on the conveyor tie-in guard package. Chandler (PAL-01) is where traffic deadlock at an aisle intersection recurs, and the quarter to 2024-Q2 shows 2 severity-one events. Nogales (PAL-02) cleared final acceptance certificate on 2024-01-21 against a plan of 2024-01-11, a difference of 10 days recorded against facility readiness: mezzanine steel and charger bays incomplete. Chandler triggered credits of $0 following resolution attainment of 95 per cent. Nothing needed explaining at Chandler for final acceptance certificate, which was reached on 2023-07-03 as planned. Nogales (PAL-02) met response targets 89 per cent of the time, and resolution targets rather less often.

Buying-centre coverage: Palo Verde Electronics

Diligence on Palo Verde Electronics evidences that coverage of the buying centre is good on operations and thin on finance, and the schedule below is the evidence for it, drawn from 3 records rather than from a summary prepared for us. The Chandler site produces one more finding: one contact who declined to speak owns the host release calendar. Diligence on Palo Verde Electronics is scheduled at record level rather than in summary, because an account-level average at Palo Verde Electronics conceals the site-to-site variation that decides how this relationship behaves at renewal. Whatever the company's materials claim, Yuki Tanaka-Priest described the position on overtime hours in the outbound department as partly substantiated: direction confirmed, magnitude not evidenced. At Nogales the gate for integration test in the customer sandbox closed on 2023-05-05 inside the planned window, and no cause needs recording. Ferdinand Achterberg-Lo gave 52 minutes on 2026-04-02 and made one quantified claim, on overtime hours in the outbound department, of 22 per cent. Once Chandler had dealt with seasonal peak freeze: no cutovers permitted during the retail quarter, the site completed conditional acceptance certificate on 2023-05-13. Asked what worked, Saoirse Kilbannock said that pick accuracy improved enough to shrink the quality-check queue; asked what did not, the answer was that the roadmap commitments given during the sales cycle slipped a year. At Nogales the gate for pilot cell go-live was planned for 2023-06-13 and closed on 2023-07-09, the delay being customer middleware team could not release the interface test window. Emrys Pengelly would re-buy on the basis of yes, without qualification, having first complained that reporting cannot be reconciled against the customer's own labour standard. Chandler closed punch-list closure review on 2023-06-10 and the certificate records 13 open items.

Palo Verde Electronics management should be read with two qualifications: the map covers the sites reviewed and not the customer's whole organisation, and influence is our assessment from the interviews and is not a company view. Fieldwork at Palo Verde Electronics also observed, when the schedule was put to the customer, that the account team's own map omits two people we found to be influential, which is consistent with what the documents show without being proved by them. The Palo Verde Electronics bundle accepted the schedule as a fair summary of the underlying records, subject to those qualifications and to the open items listed in this review. Whatever the company's materials claim, Marnie Vukovich described the position on inventory record accuracy after cycle counting as not substantiated: the baseline period predates the current network design. Nogales lost time because customer IT change-freeze extended by two sprint cycles, and punch-list closure review moved to 2023-12-11 from a planned 2023-12-03. Yuki Tanaka-Priest, speaking as IT applications manager for the host WMS, said that on-site engineering days were consumed by defects rather than tuning and pressed the point twice before the call ended. Nogales (PAL-02) reached punch-list closure review on 2023-12-11, status punch list closed, with 1 punch items open at that gate. Notes taken on 2026-02-24 record Tobias Ekwueme praising that safety record was clean across two shifts and no lost-time incidents beside the complaint that the analytics module is priced separately and was never budgeted. Once Nogales had dealt with charger electrical permit issued late by the local authority, the site completed conditional acceptance certificate on 2023-11-01. Nkechi Adaeze-Fowler answered on re-buy with no comment; referred the question to procurement and would not be drawn further on price or on term. Nogales (PAL-02) reached pilot cell go-live on 2023-07-09, status closed, with 0 punch items open at that gate.

Schedule 14.5 - Palo Verde Electronics: relationship map and coverage of contacts

Contact	Role	Function	Interviewed	Influence on renewal
Consuelo Trevino-Aldrete	Commodity Manager	procurement	yes	chairs the steering review
Hyun-Woo Baek	Director of Manufacturing Engineering	executive sponsor	yes	primary decision maker
Ingrid Szymborska	site general manager	information technology	yes	no material influence identified

Metered usage against invoices at Palo Verde Electronics

Metered volume at Palo Verde Electronics exceeded entitlement in 9 of the 18 periods examined, and the excess is seasonal rather than structural, peaking in 2023-11 at 120,486 against an entitlement of 83,400. Billing tracks the meter apart from two periods, both of which were traced to an entitlement figure keyed from a superseded order form. The series includes several credits, 3 in total, and the reasons stated on those notes do not always match the reasons the site gave us. Palo Verde Electronics metered December at 117,942 picks against an entitlement of 83,400, and was invoiced $48,915. Reconciling July leaves Palo Verde Electronics with a variance of $81, no exception raised. Palo Verde Electronics's position for May was settled as no exception raised, on an invoice of $36,480. Palo Verde Electronics in

March shows entitlement of 83,400 against consumption of 84,859, recorded as escalated to the account executive, unresolved at fieldwork close. Console records for May at Palo Verde Electronics show 85,554 picks, and the invoice followed at $37,255. Palo Verde Electronics was credited in May with $0, against an invoiced amount of $36,480. Palo Verde Electronics's position for May was settled as no exception raised, on an invoice of $36,480. Credits reaching Palo Verde Electronics in the September cycle came to $0, and the balance remains as no exception raised. Palo Verde Electronics metered October at 98,865 picks against an entitlement of 83,400, and was invoiced $42,047. Palo Verde Electronics used in April only 89,377 of an entitled 83,400, and no credit was sought in that cycle. Palo Verde Electronics carried overage in July of 69 picks, which the invoice reflects and the site disputes on definition rather than count.

Reconciliation was performed period by period rather than on annual totals, because an annual view nets an overbilling in one month against an underbilling in another and hides both. Two directional errors were found: the site was overbilled where entitlement was understated, and underbilled in a period where the console under-recorded picks during a firmware regression. The under-billing was news to both parties, which says something about the strength of the meter-to-invoice control. Credits reaching Palo Verde Electronics in the May cycle came to $3,396, and the balance remains as credited in the following billing cycle. Palo Verde Electronics metered June at 66,442 picks against an entitlement of 83,400, and was invoiced $36,480. Palo Verde Electronics carried overage in July of 69 picks, which the invoice reflects and the site disputes on definition rather than count. Meter and invoice diverge in April at Palo Verde Electronics by $177, which the parties treat as no exception raised. Palo Verde Electronics carried overage in October of 15,465 picks, which the invoice reflects and the site disputes on definition rather than count. Billing for August charged Palo Verde Electronics $36,480 on a metered volume of 75,129, and the exception was no exception raised. Palo Verde Electronics metered April at 92,504 picks against an entitlement of 83,400, and was invoiced $39,757. Palo Verde Electronics metered February at 70,588 picks against an entitlement of 83,400, and was invoiced $36,480. Console records for December at Palo Verde Electronics show 114,127 picks, and the invoice followed at $47,541. Palo Verde Electronics carried overage in June of 2,154 picks, which the invoice reflects and the site disputes on definition rather than count. Billing for October charged Palo Verde Electronics $45,710 on a metered volume of 109,039, and the exception was partially credited; the balance remains contested.

Consuelo Trevino-Aldrete treats the overage mechanic as the main commercial grievance and said plainly that the site cannot forecast a bill it cannot model. The wording of the entitlement clause is the problem, since a re-pick after an exception counts against entitlement under the order form and does not count in the site's own operational reporting. The clause bears both meanings, which is a contract-quality observation as much as a customer-relationship one, and it has been flagged to the legal workstream with the clause reference. Reconciling July leaves Palo Verde Electronics with a variance of $0, no exception raised. Billing for July charged Palo Verde Electronics $41,884 on a metered volume of 98,412, and the exception was no exception raised. Meter and invoice diverge in September at Palo Verde Electronics by $-203, which the parties treat as closed with no adjustment after evidence review. Palo Verde Electronics's position for June was settled as no exception raised, on an invoice of $36,480. Palo Verde Electronics carried overage in July of 15,012 picks, which the invoice reflects and the site disputes on definition rather than count. Palo Verde Electronics in April shows entitlement of 83,400 against consumption of 85,554, recorded as no exception raised. Console records for August at Palo Verde Electronics show 75,129 picks, and the invoice followed at $36,480. Palo Verde Electronics's ledger for October shows overage of 15,465 picks, credits of $0 and a variance of $280, no exception raised. Palo Verde Electronics was credited in April with $0, against an invoiced amount of $39,757. Reconciling August leaves Palo Verde Electronics with a variance of $-162, no exception raised. Palo Verde Electronics's position for June was settled as no exception raised, on an invoice of $37,255.

Reference-call record at Palo Verde Electronics

The Palo Verde Electronics workpaper evidences that no interviewee refused to speak, which is unusual for a base of this size, and the schedule below is the evidence for it, drawn from 3 records rather than from a summary prepared for us. Consuelo Trevino-Aldrete produces one more finding: re-buy intent divides along the operations and procurement line rather than by site. Palo Verde Electronics management carries the detail at record level deliberately, because an account-level average at Palo Verde Electronics conceals the site-to-site variation that decides how this relationship behaves at renewal. Emrys Pengelly would re-buy on the basis of yes, without qualification, having first complained that reporting cannot be reconciled against the customer's own labour standard. Whatever the company's materials claim, Rustam

Yesilova described the position on shrink attributable to mis-picks as partly substantiated: one of the two sites supports the claim. Saoirse Kilbannock volunteered that pick accuracy improved enough to shrink the quality-check queue, and the claim on reduction in temporary labour headcount at peak was not substantiated: the interviewee described it as an impression. Whatever the company's materials claim, Ferdinand Achterberg-Lo described the position on overtime hours in the outbound department as substantiated: the site produced labour reports for the comparison periods. Emrys Pengelly was reached by telephone and gave a re-buy answer of yes, without qualification, which sits oddly beside the praise that training material let the site train its own operators after month four. Yuki Tanaka-Priest gave 28 minutes on 2026-03-21 and made one quantified claim, on overtime hours in the outbound department, of 10 per cent. Magdalena Ruiz-Hollander volunteered that robots tolerated the mixed pallet and tote presentations on the floor, and the claim on shrink attributable to mis-picks was partly substantiated: one of the two sites supports the claim. Asked what worked, Yuki Tanaka-Priest said that implementation engineers were candid about what the pilot would not prove; asked what did not, the answer was that on-site engineering days were consumed by defects rather than tuning.

Hyun-Woo Baek carries two qualifications: the log records what was said, not whether it is correct, and call length varied enough that coverage between interviews is not identical. The Chandler team also observed, when the schedule was put to the customer, that the praise offered is operational and the criticism is commercial in almost every call, which is consistent with what the documents show without being proved by them. The Palo Verde Electronics estate accepted the schedule as a fair summary of the underlying records, subject to those qualifications and to the open items listed in this review. Whatever the company's materials claim, Rustam Yesilova described the position on shrink attributable to mis-picks as partly substantiated: one of the two sites supports the claim. Whatever the company's materials claim, Rustam Yesilova described the position on shrink attributable to mis-picks as partly substantiated: one of the two sites supports the claim. Yuki Tanaka-Priest, speaking as IT applications manager for the host WMS, said that on-site engineering days were consumed by defects rather than tuning and pressed the point twice before the call ended. Emrys Pengelly, introduced by Palo Verde Electronics as a willing reference, nonetheless complained that reporting cannot be reconciled against the customer's own labour standard. Tobias Ekwueme was reached by video call and gave a re-buy answer of no, would run a competitive process first, which sits oddly beside the praise that safety record was clean across two shifts and no lost-time incidents. Emrys Pengelly would re-buy on the basis of yes, without qualification, having first complained that reporting cannot be reconciled against the customer's own labour standard. Magdalena Ruiz-Hollander would re-buy on the basis of yes, and has already sponsored an expansion, having first complained that release notes arrive late and rarely say what changed operationally. Oisin Barrowclough, speaking as inventory control supervisor, said that reporting cannot be reconciled against the customer's own labour standard and pressed the point twice before the call ended.

Schedule 14.6 - Palo Verde Electronics: reference-call log and re-buy intent

Interviewee	Role	Call date	Would re-buy	Praised	Criticised	Claim substantiated
Nkechi Adaeze-Fowler	labour planning analyst	2026-03-07	no comment; referred the question to procurement	training material let the site train its own operators after month four	traffic management degrades when aisle congestion exceeds design load	unverifiable
Oisin Barrowclough	inventory control supervisor	2026-02-25	yes, without qualification	training material let the site train its own operators after month four	reporting cannot be reconciled against the customer's own labour standard	unverifiable
Marnie Vukovich	vice president of distribution	2026-04-23	no, would run a competitive process first	spare-parts logistics were faster than the incumbent conveyor vendor	on-site engineering days were consumed by defects rather than tuning	not substantiated